TOPIC 1 · THE GLOBAL ECONOMY

Bank of Canada · ECB · ABC News
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One oil shock, three answers: Canada hikes as Europe and NZ hold

Central banks faced the same energy-price shock this week but reached different conclusions about how to respond, showing how policy depends on each economy's inflation, growth and expectations.

WHAT HAPPENED

- **Bank of Canada** raised its rate 25 basis points to **2.50%**, its first hike in three years, to stop high energy prices spreading into other prices. Canadian inflation is **3.1%**; petrol is up **27.8%** but inflation excluding petrol is only 2.2%.
- Canada expects inflation near **3.5%** by year-end and growth of only **1%** in 2026, and signalled more hikes may be needed.
- **European Central Bank** held its deposit rate at **2.50%** after a September hike, warning of **second-round effects** on wages and prices. Christine Lagarde will leave as president early, in February 2027.
- **Reserve Bank of New Zealand** held at **2.75%**, surprising markets that expected a hike; the NZ dollar fell 1.2%.

Second-round effects: when an initial price shock flows into wage claims and other prices, making inflation persistent. **Basis point:** 0.01 percentage points.

KEY NUMBERS

2.50% ↑
Bank of Canada, first hike in 3 years

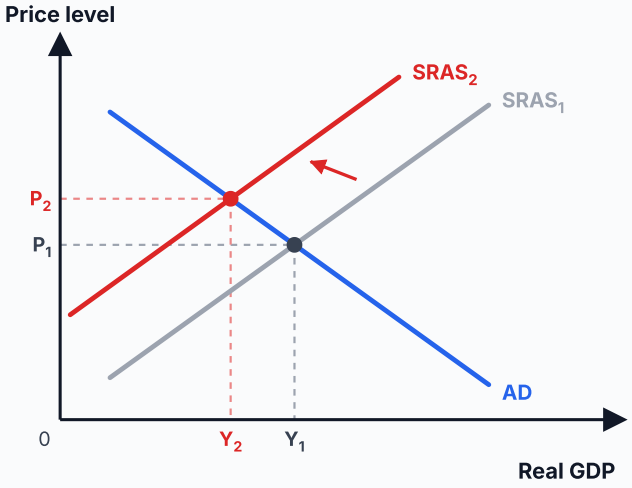
2.50% =
ECB deposit rate, held

2.75% =
RBNZ cash rate, held

3.75–4%
US Fed range, held (10–2 vote)

DIAGRAM

The dilemma: an oil shock shifts SRAS left



Conceptual diagram, not to scale

Higher energy costs shift **$SRAS_1$ to $SRAS_2$**: the price level rises (P_1 to P_2) **while real GDP falls** (Y_1 to Y_2).

Raising rates fights the inflation but deepens the fall in output. Holding protects growth but risks expectations rising. **Canada** judged the inflation risk larger; the **ECB** and **RBNZ** weighted weak growth more heavily.

Exam angle: monetary policy cannot fix a supply shock; it can only stop the first-round price rise turning into **persistent inflation**. That is a key limitation of monetary policy in Topic 4.

FLOW CHART

Why Canada chose to hike

Oil prices rise → Headline inflation jumps → Risk: wages and expectations follow → **Central bank hikes to anchor expectations**

SYLLABUS LINK

Topic 1 – international responses to global shocks; global financial flows and interest rate differentials.
Topic 4 – limitations of monetary policy against supply-side inflation.

TRY THIS

Explain why central banks might respond differently to the same rise in world oil prices. **(4 marks)**

Distinguish between first-round and second-round effects of an oil price shock. **(3 marks)**

Sources: Rio Times (BoC): riotimesonline.com/bank-of-canada-rate-decision-28-october-2026/ · Cyprus Mail (ECB): cyprus-mail.com/2026/10/29/ecb-holds-interest-rates-steady-as-energy-shock-threatens-inflation-and-growth · ABC Markets blog, 29 Oct: abc.net.au/news/2026-10-29/asx-markets-business-live-news-29-october-2026/107321622